CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. ECD834DA2
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN PART

From: Michael Hicks <michael.hicks@enron.com>
Sent: Tue, 14 Mar 2000 06:40:00 -0800 (PST)
To: Laine A Powell <laine.powell@enron.com>
Cc: Abraham Moreno <abraham.moreno@enron.com>, Steven J Kean <steven.kean@enron.com>, Bill Donovan <bill.donovan@enron.com>, Melinda Winkler@ECT, Abraham Moreno <abraham.moreno@enron.com>, Eduardo Cordi <eduardo.cordi@enron.com>, Andreas.Carleton.Smith@control-risks.com <andreas.carleton.smith@control-risks.com>, Ruud.E.Kloppenburg@SI.shell.com <ruud.e.kloppenburg@si.shell.com>
Subject: Re: Tradu??o

Laine:

Having reviewed Abe's and Eduardo's comments on the joint security assessment report, I would like to provide my comments:

The things you should look at doing:

1. Get the government involved in enforcing the laws and stopping the illegal behavior. Let the government decide how to do that - whether through the national police or the military. "Get the government involved" is not quite the same as "bring in the Army" - although that may be a part of the final decision. Pointing out to the government that the project is important to Bolivia as well at to Enron/Shell may help to get them off dead center.

2. Expand your PR program to include education of the people about illegal acts and their consequences. Obviously if the government doesn't want to get involved, there won't be any consequences and in that case you might as well skip this step. You may already have assets in place to do this - the CLO's and Jose Castro of GOB(?). A little more push with the local civic committee to get them to accept your bringing in an outside member.

[REDACTED] B6

and protect work sites and offices, if you feel a physical threat exists to your employees. The cost will be high, as you will have to provide housing, food and transportation in addition to salary. This would help in reducing the number of 'carjackings' of your vehicles and threats to your employees. This might, however, have a negative impact overall, and the confrontations may turn violent if the youth organization won't back down from a fight. Escalation at this point in the construction might lead to a longer completion time than if you just 'go with the flow'. In my opinion, I would use this only if the government doesn't get involved in crime suppression activities.

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4. Refuse to continue paying extortion to the populace. Bear in mind, however, that this decision will probably escalate future incidents, with results equivilent to those mentioned above in #3.

The above are my immediate recommendations - the below are my general comments:

- I think the problem is more than just the 'PR issue' that the report seems to indicate. There are illegal acts being committed, in violation of Bolivian laws, by a populace who is used to doing things their own way, without the benefit of following laws made by the government far away who doesn't take an active interest in crime suppression. The only remedy for committing illegal acts is punishment for the offender, which sends a message to the community that illegal acts will not be condoned. Can Enron punish the offender? No - that can only come from the government through their legal system. Enron should not be required to submit to extortion by groups committing illegal acts. Enron's push here should be to get the government involved at whatever level it takes to investigate and prosecute those committing the illegal acts.

- You have a short time frame to work in before the project is complete. Putting things in motion now wouldn't guarantee they would be in place before the end of the project - however, the operator of the pipeline is going to have to face these or similar issues - they are not going to go away just because the pipeline is finished. The acceptance by the general populace of use of illegal acts can easily become a breeding ground for future sabotage of the pipeline, kidnapping of employees and contractors. Whatever short-term solution you use will affect the long-term security of the pipeline, and needs to be well considered. Whatever other options you have, education of the people probably wouldn't hurt. If the operator of the PL can get involved in the education of the populace, it would be in it's best interest to do so.

- Your subcontractor, Conduto, seems to be a focal point for at least some of the problems through their non-use of local labor. There is no indication in the report or in Abe's comments that the local populace are qualified for available jobs. Maybe a lesson learned for next project - try to use local labor where possible (and qualified). This friction - between Conduto and the populace - seems to be the major issue.

- The CLO concept, as I understand Abe's comments, seems to be on the right track, but maybe their responsibility should be expanded to include educating the populace that there is a difference in nogotiating for something in good faith rather than under duress. Also that Illegal acts will not be

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tolerated. One potential problem I see is that if GOB refuses to negotiate over future issues (wants of the people), then, without the education part of it in place, you will probably see sabotage on the PL or of company vehicles, and possibly violence against your employees. Obviously you want to continue to use people such as Jose Castro - possibly expanding his role to include education issues.

In any case, this is not a problem that is going to go away overnight, and any actions you take at this point may not have a positive effect by the time the project is complete. Hindsight is always better - maybe for the next project we will consider a due diligence assessment of the areas our pipe will pass through and see if similar conditions exist there.

Hope to see you before long.

Regards,

Mike Hicks

Laine A Powell@ENRON_DEVELOPMENT
03/14/2000 03:25 AM
To: Michael Hicks@ECT
cc: Abraham Moreno/ENRON_DEVELOPMENT@ENRON_DEVELOPMENT
Subject: Tradu??o

Mike -

Attached is a copy of the translation of Eduardo Cordi's comments to the investigation done by the security folks in San Matias. Summarizing Abe's comments and Eduardo's the reaction seems to be that many of the recommendations don't apply for the area. Am not sure what the next step should be. Any suggestions?

rgds

Laine

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